

SENATE BILL 958

By Lamar

AN ACT to amend Tennessee Code Annotated, Title 4;
Title 9; Title 67 and Title 71, relative to community-
based organizations.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 4-29-248(a), is amended by adding the following as a new, appropriately designated subdivision:

() Community grant advisory board, created by § 71-1-137;

SECTION 2. Tennessee Code Annotated, Title 71, Chapter 1, Part 1, is amended by adding the following new sections:

71-1-136.

(a) As used in this section, "eligible community-based organization" means a 501(c)(3) nonprofit organization that has served communities for at least five (5) years in the areas of economic or workforce development, education, poverty, health, housing, or social services.

(b) There is established a community-based organization grant program for the purpose of financially supporting the capacity, sustainability, and impact of eligible community-based organizations.

(c) There is created within the state general fund a special account to be known as the community-based organization grant fund, to be administered by the community grant advisory board created by § 71-1-137.

(d) The fund is composed of money appropriated by the general assembly for the fund, and gifts, grants, and other donations received by the board for the fund.

(e) Subject to the availability of funds, the board shall allocate and disperse grants to eligible community-based organizations to effectuate this section. Grants must be awarded in amounts ranging from ten thousand dollars (\$10,000) to one hundred thousand dollars (\$100,000), based on the eligible community-based organization's scope, impact, and financial need. It is the legislative intent that an initial appropriation of one million dollars (\$1,000,000) be made in fiscal year 2025-2026 and deposited to the fund.

(f) The board shall establish and publish guidelines for applications, including eligibility, and the award of grants. In the application, the eligible community-based organization must demonstrate a need for funding and provide a clear plan for project implementation and impact measurement, including a grant proposal outlining their mission, project goals, expected outcomes, and budget. Priority for grants must be given to projects that emphasize community-driven solutions, partnerships, and sustainability, and to eligible community-based organizations led by community members from the populations they serve.

(g) The state treasurer shall invest moneys in the fund for the benefit of the fund in accordance with § 9-4-603. Interest accruing on investments and deposits of the fund must be credited to and remain part of the fund. Any unencumbered moneys and any unexpended balance of the fund remaining at the end of a fiscal year do not revert to the general fund, but must be carried forward until expended in accordance with this section.

(h) The board shall submit an annual report to the finance, ways and means committees of the senate and the committee of the house of representatives with jurisdiction over budget-related matters by March 1, 2026, and by March 1 of each subsequent year on the status of this grant program and the allocation of grant funds. Grant recipients shall provide quarterly progress reports to the board detailing how funds

are being utilized. The board shall conduct site visits and performance evaluations of grant recipients periodically to ensure program effectiveness.

(i) The department may promulgate rules necessary to effectuate this section.

The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

71-1-137.

(a) There is created in the department a community grant advisory board, referred to in this section and § 71-1-136 as "the board," for the purpose of administering the community-based organizations grant program under § 71-1-136. The board consists of nine (9) voting members as follows:

(1) The commissioner or the commissioner's designee;

(2) One (1) member, appointed by the governor, who has no connection to community-based organizations and who does not fulfill any other requirements for appointment to the board;

(3) One (1) representative of county government, appointed by the speaker of the senate;

(4) One (1) representative of city government, appointed by the speaker of the house of representatives;

(5) Three (3) members, appointed by the governor, each of whom is either a current director of a community-based organization or a current member of a community-based organization board of directors at the time of the member's appointment. The members appointed pursuant to this subdivision (a)(5) must each reside in a separate grand division of the state;

(6) One (1) at large member appointed by the speaker of the senate, who at the time of the member's appointment is either a current director of a nonprofit entity or a current member of a nonprofit entity board of directors; and

(7) One (1) at large member appointed by the speaker of the house of representatives, who at the time of the member's appointment is either a current director of a nonprofit entity or a current member of a nonprofit entity board of directors.

(b) The terms for the initial board members begin on October 1, 2025, and must be staggered as follows:

(1) The members appointed by the governor shall serve an initial term of six (6) years;

(2) The members appointed by the speaker of the senate shall serve an initial term of five (5) years; and

(3) The members appointed by the speaker of the house of representatives shall serve an initial term of four (4) years.

(c) Following the expiration of members' initial terms as prescribed in subsection (b), appointments to the board are for terms of six (6) years and begin on July 1 and terminate on June 30, six (6) years thereafter.

(d) At the expiration of a board member's term, the member may continue to serve until a successor is appointed or until the member is reappointed.

(e) All members serve without compensation, but are eligible for reimbursement for travel expenses in accordance with the comprehensive travel regulations as promulgated by the department of finance and administration and approved by the attorney general and reporter.

(f) Five (5) board members constitute a quorum for the transaction of business.

If a quorum is present, a vacancy on the board does not prevent the board from transacting business or otherwise taking an action authorized pursuant to this section or § 71-1-136.

(g) The commissioner or the commissioner's designee shall serve as chair. The board shall meet at the call of the chair. The board may elect other officers as the board deems appropriate.

(h) The department shall provide administrative support to the board.

(i) The board may exercise the powers and duties necessary to implement this section and § 71-1-136.

SECTION 3. For purposes of promulgating forms or rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2025, the public welfare requiring it.